Spotify

FEATURES

Spotify can include these new features to its premium members which can enhance the conversion rate of the users.



Karaokes

Providing the karaokes and audio recording simultaneously for premium users so that one can record the self sung song.



Modify your song

Bass booster, lo-fi, slowed songs and other audio enhancing options for users to adjust the audio of the songs according to them.



Music remix

Providing options for mixing two or more songs and making a mashup which user can add as a new song in playlist.



Quick Takes

Providing a reel type feature in which the verse or bridge of the songs is played and on scrolling song is changed.



Livestream of concerts

Spotify can provide the live streaming of the concerts only to its premium users by collaborating with the concert managers.

MARKET SIZING

Market Potential

- Target Market: Over 400 million active internet users in India, with music streaming apps gaining widespread popularity.
- Conversion Target: Increase conversion from 10% to 20%, adding an estimated 10 million new premium users over the next year.

Revenue Projections

- Current ARPU: Estimate based on Spotify's global ARPU of ~$5/month, though likely lower in India.
- Revenue Growth: A 10% increase in conversion could result in additional revenue of approximately $600 million annually from the Indian market.

Monetization Strategy

- Tiered Pricing: Introduce tiered pricing based on regional preferences and usage patterns, such as student plans, family bundles, and regional discounts.
- Bundled Services: Partner with telecom operators like Jio, Airtel, and Vi to offer bundled premium plans at discounted rates, leveraging their extensive customer base for broader reach.

GTM PLAN

Launch Strategy: Spotify will begin by rolling out new premium features in Tier-1 cities like Mumbai and Delhi, targeting early adopters with higher spending power. Following feedback, we'll expand to Tier-2 and Tier-3 cities. The launch will be supported by influencer partnerships with regional artists and localized digital campaigns in multiple languages, emphasizing the unique benefits of Spotify Premium.

Acquisition & Retention Strategy: To boost conversions, we'll offer a 90-day free trial, followed by discounted rates and introduce a referral program with rewards for bringing in new users. Continuous engagement will be ensured through regular updates of exclusive content, regional releases and interactive in-app features, keeping users invested in their premium experience.